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CLASS 11 • BUSINESS STUDIES

Chapter 1 Nature and Purpose of Business

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Multiple Choice Questions

1. Which of the following does not characterise business activity?

- (i) Production of goods and services
- (ii) Presence of risk
- (iii) Sale or exchange of goods and services
- (iv) Salary or wages

Ans: (iv) Salary or wages

2. Which broad category of industries covers oil refinery and sugar mills?

- (i) Primary
- (ii) Secondary
- (iii) Tertiary
- (iv) None of these

Ans: (ii) Secondary

3. Which of the following cannot be classified as an auxiliary to trade?

- (i) Mining
- (ii) Insurance
- (iii) Warehousing
- (iv) Transport

Ans: (i) Mining

4. The occupation in which people work for others and receive remuneration is known as:

- (i) Business
- (ii) Employment
- (iii) Profession
- (iv) None of these

Ans: (ii) Employment

5. Industries which provide support services to other industries are known as:

- (i) Primary industries
- (ii) Secondary industries
- (iii) Commercial industries
- (iv) Tertiary industries

Ans: (iv) Tertiary industries

6. Which of the following cannot be classified as an objective of business?

- (i) Investment
- (ii) Productivity
- (iii) Innovation
- (iv) Profit earning

Ans: (i) Investment

7. Business risk is not likely to arise due to:

- (i) Changes in government policy
- (ii) Good management
- (iii) Employee dishonesty
- (iv) Power failure

Ans: (ii) Good management

Answer Key: 1.(iv) 2.(ii) 3.(i) 4.(ii) 5.(iv) 6.(i) 7.(ii)

Short Answer Type Questions

Q1. State the different types of economic activities.

Economic activities are activities undertaken with the objective of earning income or livelihood. They are mainly of three types:

1. Business: Production, purchase and sale of goods and services with the main objective of earning profit.
2. Profession: Occupation requiring specialised knowledge, education and skills (e.g. doctors, lawyers, CAs).
3. Employment: Working for another person/organisation under an agreement and receiving salary or wages in return.

Q2. Why is business considered an economic activity?

Business is considered an economic activity because it is carried out with the objective of earning income or profit. It involves the production, purchase and sale of goods and services to satisfy human wants.

Although a business may have several objectives (customer satisfaction, innovation, growth, social responsibility), earning profit is an important objective for its survival and growth.

Q3. Explain the concept of business.

Business is an economic activity involving the regular production, purchase and sale of goods and services with the objective of earning profit by satisfying human needs.

Characteristics of Business:

- Economic Activity – carried out to earn income
- Production or Procurement of Goods and Services
- Sale or Exchange of goods/services
- Regular Dealings (not a one-time transaction)
- Profit Motive – essential for survival and growth
- Uncertainty of Returns – profit cannot be predicted with certainty
- Element of Risk – every business involves some degree of risk

Q4. How would you classify business activities?

Business activities can broadly be classified into:

1. Industry – Concerned with production and processing of goods.
 - Primary Industry • Secondary Industry • Tertiary / Service Industry
2. Commerce – Distribution and exchange of goods & services between producers & consumers.
Commerce = Trade + Auxiliaries to Trade

Trade:
 - A. Internal Trade (within country) → Wholesale & Retail
 - B. External Trade (between countries) → Import, Export, Entrepot
3. Auxiliaries to Trade – Activities that help remove difficulties in production & distribution:
 - Transportation & Communication • Banking & Finance
 - Insurance • Warehousing • Advertising

Q5. What are the various types of industries?

1. Primary Industries – Extraction of natural resources & reproduction of living organisms.
 - a. Extractive: Coal mining, petroleum extraction, fishing
 - b. Genetic: Poultry farming, cattle breeding, nurseries
2. Secondary Industries – Use raw materials from primary industries to manufacture goods.
 - a. Manufacturing Industries:
 - Analytical (crude oil → petrol, diesel)
 - Processing (iron ore → steel)
 - Synthetic (paints, cosmetics)
 - Assembling (automobiles, computers)
 - b. Construction Industries: Buildings, roads, bridges, dams
3. Tertiary / Service Industries – Provide support services:
Banking, Insurance, Transportation, Communication, Warehousing, Advertising

Q6. Explain any two business activities which are auxiliaries to trade.**1. Transportation and Communication**

Goods are produced at one place but demanded at different places. Transportation removes this difficulty. Communication helps exchange of information (telephone, internet, postal).

2. Banking and Finance

Business requires money for raw materials, machinery, buildings and day-to-day expenses. Banks provide financial services and help businesses obtain the required funds.

Q7. What is the role of profit in business?

1. Source of Livelihood – Provides income to the entrepreneur.
2. Reward for Risk – Profit is the reward for taking business risks.
3. Source of Finance for Growth – Part of profit can be reinvested to expand the business.
4. Indicator of Efficiency – Reasonable profit shows efficient use of resources.
5. Enhances Goodwill – A profitable business develops better reputation among customers, investors and other stakeholders.

Q8. What is business risk? What is its nature?

Business risk = Possibility of inadequate profits or losses due to uncertainties in business.

Nature of Business Risk:

1. Risk arises due to uncertainty (demand, prices, technology, policies, natural conditions).
2. Risk is an essential part of business – can be reduced but not completely eliminated.
3. Degree of risk varies with the nature and size of the business.
4. Profit is the reward for risk-taking – entrepreneur bears risk expecting profit.

Long Answer Type Questions

Q1. Explain the characteristics of business.

1. Economic Activity – Carried out with the objective of earning income.
2. Production or Procurement of Goods and Services – Manufacturer produces; retailer purchases.
3. Sale or Exchange – Goods/services must be sold to satisfy consumer needs.
4. Regular Dealings – Continuous activity; a single transaction is not business.
5. Profit Motive – Essential for survival, growth and expansion.
6. Uncertainty of Returns – Amount of profit cannot be known in advance.
7. Element of Risk – Possibility of losses because future conditions are uncertain.

Q2. Compare business with profession and employment.

Basis	Business	Profession	Employment
Meaning	Production/sale of goods & services for profit	Specialised knowledge & skills required	Work for others for salary/wages
Qualification	No specific compulsory	Professional qualification required	Depends on job nature
Reward	Profit	Professional fee	Salary or wages
Capital	Usually required	Limited capital may be required	Generally not required
Risk	High (borne by owner)	Comparatively limited	Usually very low
Code of Conduct	Generally no specific	Professional code must be followed	Terms of employment
Freedom of Work	Relatively high	Relatively high	Limited (employer's directions)
Main Objective	Profit + customer needs	Specialised services	Earning salary/wages

Q3. Explain with examples the various types of industries.

1. Primary Industry – Extracting natural resources & developing living organisms.

- a. Extractive: Mining coal, extracting petroleum, fishing
- b. Genetic: Poultry farming, cattle breeding, plant nurseries

2. Secondary Industry – Convert primary materials into useful products.

- a. Manufacturing:
 - Analytical – One material → several products (crude oil → petrol, diesel)
 - Processing – Stages of production (iron ore → steel)
 - Synthetic – Combining materials (paints, cosmetics)
 - Assembling – Parts → finished product (cars, computers)
- b. Construction: Roads, bridges, buildings, dams

3. Tertiary / Service Industry – Support production, trade & distribution.

Examples: Banking, Insurance, Transportation, Communication, Warehousing, Advertising

Q4. Describe the activities relating to commerce.

Commerce = Trade + Auxiliaries to Trade

A. Trade (buying & selling for profit)

- 1. Internal Trade (within country)
 - Wholesale Trade – large quantities
 - Retail Trade – small quantities to final consumers
- 2. External Trade (between countries)
 - Import • Export • Entrepot

B. Auxiliaries to Trade

- 1. Transportation – removes difficulty of place
- 2. Communication – exchange of information
- 3. Banking & Finance – provides funds
- 4. Insurance – protects against losses
- 5. Warehousing – stores goods until needed
- 6. Advertising – creates awareness among customers

Q5. Why does business need multiple objectives? Explain any five.

A business interacts with many groups (owners, employees, customers, society).
Each has different expectations → multiple objectives are needed.

1. Market Standing – Strong position by quality goods & customer satisfaction.
2. Innovation – New products, methods & techniques to attract & retain customers.
3. Productivity – Best possible use of available resources.
4. Earning Profit – Necessary for survival, growth and expansion.
5. Optimum Use of Resources – Efficient use of physical, human & financial resources.
6. Employee Performance & Development – Motivation & growth opportunities.
7. Social Responsibility – Quality products, employment & environment protection.

Q6. Explain the concept of business risk and its causes.

Business risk = Possibility of inadequate profits or losses due to uncertainties.

Causes of Business Risk:

1. Natural Causes – Floods, earthquakes, droughts, heavy rainfall.
2. Human Causes – Theft, strikes, riots, negligence, misappropriation.
3. Economic Causes – Changes in demand/prices, competition, inflation, technology.
4. Physical Causes – Machinery breakdown, fire, equipment failure.
5. Other Causes – Political disturbances, sudden changes in government policies.

Q7. What factors are important while starting a business? Explain.

1. Selection of Line of Business – Based on demand, resources, skills & market.
2. Size or Scale of Business – Small, medium or large scale.
3. Choice of Form of Organisation – Sole proprietorship, partnership or company.
4. Location of the Business – Availability of raw materials, labour, power, transport, banking and markets.
5. Financial Requirements – Estimate capital for fixed assets & working capital.
6. Physical Facilities – Buildings, machinery, equipment according to nature & scale.
7. Plant Layout – Proper arrangement of machines for smooth production.
8. Competent Workforce – Recruit skilled, semi-skilled & managerial staff.
9. Tax Planning – Understand applicable taxes and comply with laws.
10. Setting Up the Enterprise – Mobilise resources, complete legal formalities and start operations.

Quick Revision

**Business = Regular Economic Activity + Production/Procurement
+ Sale/Exchange + Profit Motive + Risk**

Commerce

Trade + Auxiliaries
to Trade

Industry

Primary +
Secondary + Tertiary

External Trade

Import + Export
+ Entrepot

Types of Industries at a Glance

Primary Industry

- Extractive → Mining, Fishing, Petroleum
- Genetic → Poultry, Cattle breeding, Nurseries

Secondary Industry

- Manufacturing → Analytical | Processing | Synthetic | Assembling
- Construction → Roads, Bridges, Buildings, Dams

Tertiary / Service Industry

Banking • Insurance • Transport • Communication • Warehousing • Advertising

Main Auxiliaries to Trade

Transportation • Communication • Banking & Finance • Insurance • Warehousing • Advertising

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